Conviction Call

October stock market outlook and strategy: mean reversion

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We expect the KOSPI to trade with a neutral-to-positive bias within a 6,500-7,700pt range in October. The lower bound corresponds to 5.3x 12-month-forward P/E, or −2σ, versus the current 5.8x; the upper bound corresponds to 6.3x, or +1σ. The market has priced in inflation, monetary tightening and high interest rate risks to an extreme degree, while broadly undervaluing the outlook for the domestic and global AI and semiconductor industries, as well as their share prices, multiples and investor flows. Three developments could help these risks peak in late October or early November: 1) a rate hold at the October 29 FOMC meeting; 2) an all-out effort by the US Treasury to stabilize long-term yields, including a $6bn buyback and purchases of long-term bonds through the Treasury General Account (TGA); and 3) a potential easing of uncertainty surrounding Trump's politics, policies and geopolitical actions in the 20 trading days before the November 3 midterm elections. A neutral-to-positive 3Q earnings season, led by Samsung Electronics' entry into an era of W100tn in quarterly OP, should temper pessimism about AI and semiconductors and support a gradual recovery in Korean equities from their extreme rock-bottom levels. Samsung Electronics is scheduled to release its preliminary 3Q results on October 8.

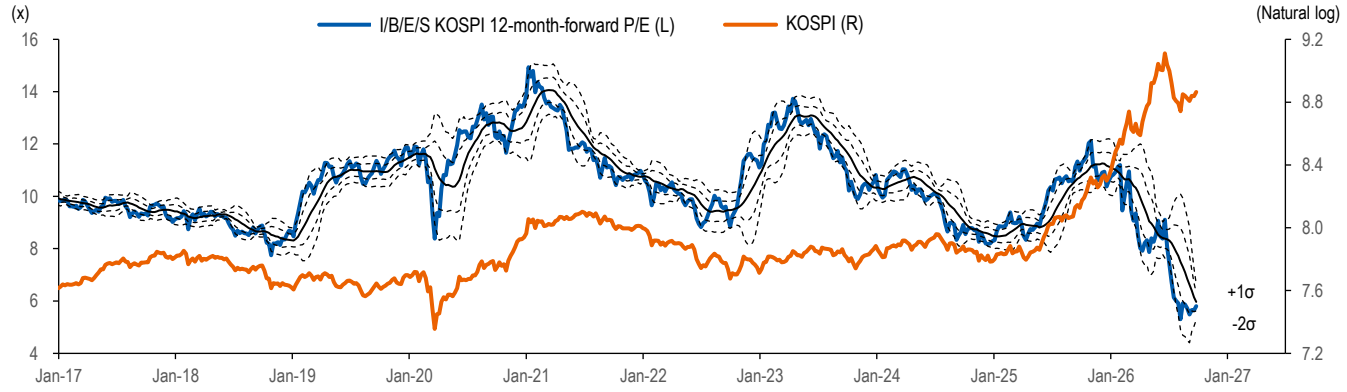
We expect the rise in market yields to seek a peak during October, despite expectations of another Fed rate hike in December. The market currently prices in four hikes totaling 100bp (one in October and three more in January, March and September 2027), taking the terminal rate to 4.75-5.00%. This represents a most/long-term hawkish scenario. In our view, the Fed is more likely to deliver just one or two additional hikes, a less/short-term hawkish outcome. Our reasoning rests on: 1) the IMF's projection that the US GDP gap, which is closely linked to changes in the Fed's funds rate, will turn negative from 2026; 2) the unusual nature of current inflation, driven by a temporary, Trump-related cost-push shock to goods and energy rather than sustained demand-pull pressure; 3) qualitative and quantitative deterioration in employment and falling labor costs, which point to disinflation in core and services prices; 4) scope for a sustained decline in shelter inflation, which accounts for roughly 40% of core inflation; and 5) worsening funding strains and credit tightening for companies and households. These are the reasons we see scope for market yields to peak around late October or early November, accompanied by a shift in bond-market flows as the bond vigilantes' short positions are squeezed.

As of September 25, the US 10-year Treasury yield of 5.16% comprises a core real yield of 1.60% inflation expectations of 2.83%, and a term premium of 0.73%. While nominal rates above 5% sparked macro/financial market taper tantrums and aggressive skepticism over mid- to long-term AI/semiconductor capex supercycle, the core real yield that functions as the actual equity discount rate in investment decisions remains well contained around its historical average. The Kevin Warsh-led Fed's pivot toward active inflation fighting and the likelihood of Trump shifting focus from foreign affairs to domestic policy ahead of midterms (easing Middle East geopolitical risk) will likely help rein in inflation expectations. Moreover, forceful measures by Scott Bessent's Treasury for downward stabilization of long-term rates will likely positively contribute to compressing the rigid term premium.

For market investors that face performance pressure, portfolio strategies will likely bifurcate into screening for safe haven alternatives insulated from rate risk, and concentrating on 3Q26 earnings surprise candidates. High-quality earnings names represent the most proven safe haven during a phase of high interest rate risk and extreme rate volatility. Until the perception gap between the market and the Fed narrows, bear-flattening rate environment seems inevitable for the near term. Positioning into investment alternatives that have historically outperformed the market during bear-flattening interest rate environments, supported by unmatched earnings momentum and stable pricing power will likely help navigate uncertainties. By cross-referencing recent coefficients of variation in EPS estimates and earnings consensus revisions, we can pre-screen 3Q26 earnings surprise and turnaround candidates. Sectors that align with this context are investment value chain leaders including semiconductor, IT appliances, shipbuilding, machinery, and construction. Expanding into individual stocks with consensus that satisfy these criteria results in Samsung Electronics, SK Hynix, Samsung Electro-Mechanics, Hanwha Aerospace, HD Hyundai Electric, Daeduck Electronics, Tes, ISC and TLB.

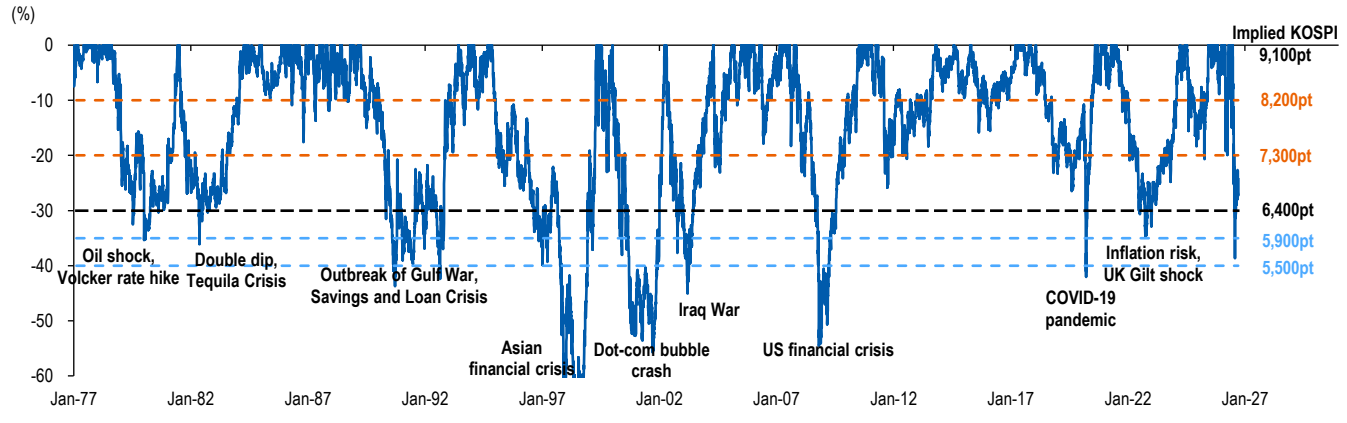
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

I/B/E/S KOSPI 12-month-forward P/E (weekly market-timing model): KOSPI to trade with a neutral-to-positive bias within a 6,500pt (−2σ P/E) to 7,700pt (+1σ P/E) range in October



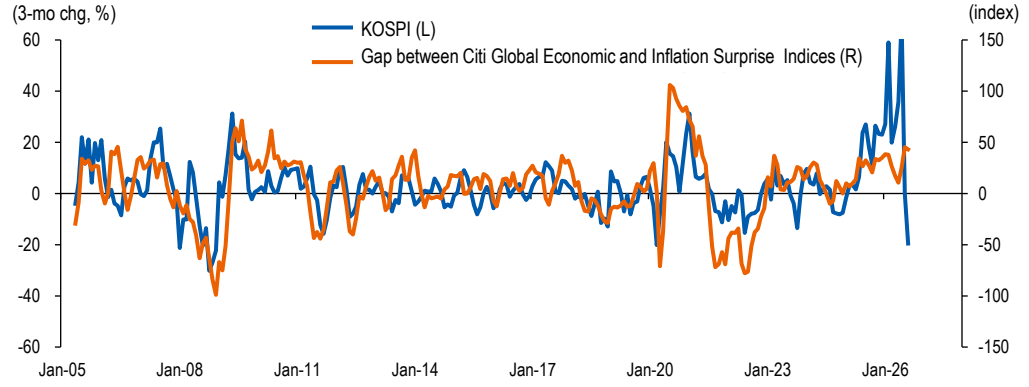
Source: LSEG Workspace, Yuanta Securities

KOSPI maximum drawdown (MDD) from its two-year high: The focus for October is whether the KOSPI's central path can settle near an MDD of −20% (about 7,300pt)



Source: LSEG Workspace, Yuanta Securities

KOSPI and gap between Citi Global Economic and Inflation Surprise Indices



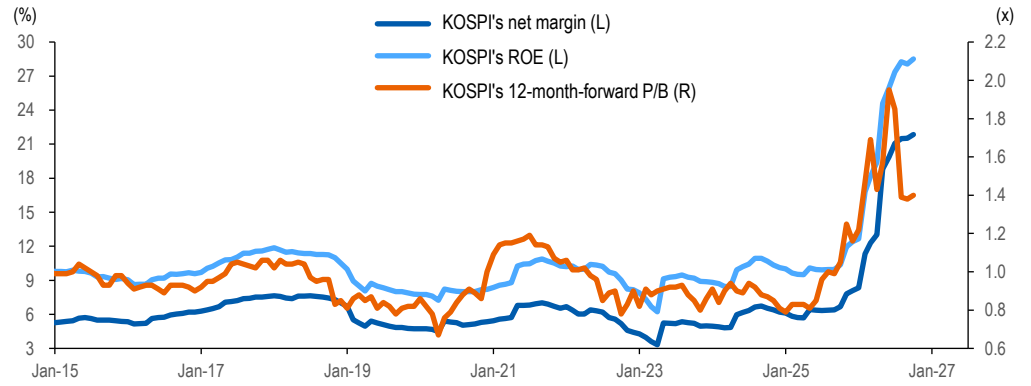
Source: LSEG Workspace, Yuanta Securities

I/B/E/S KOSPI 12-month-forward P/E: current P/E of 5.8x represents a rock-bottom valuation and an extreme historical and statistical undershoot



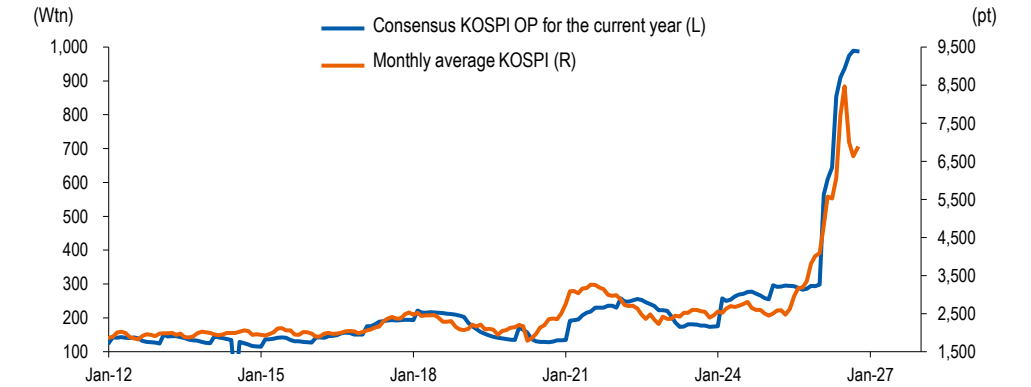
Source: LSEG Workspace, Yuanta Securities

KOSPI 12-month-forward net margin, ROE and P/B



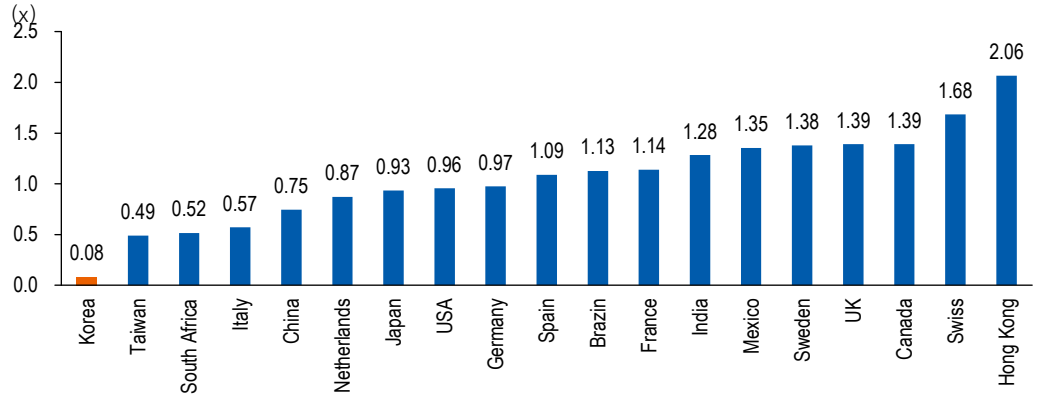
Source: FnGuide DataGuide, Yuanta Securities

Changes in consensus KOSPI OP for the current year and the monthly average KOSPI



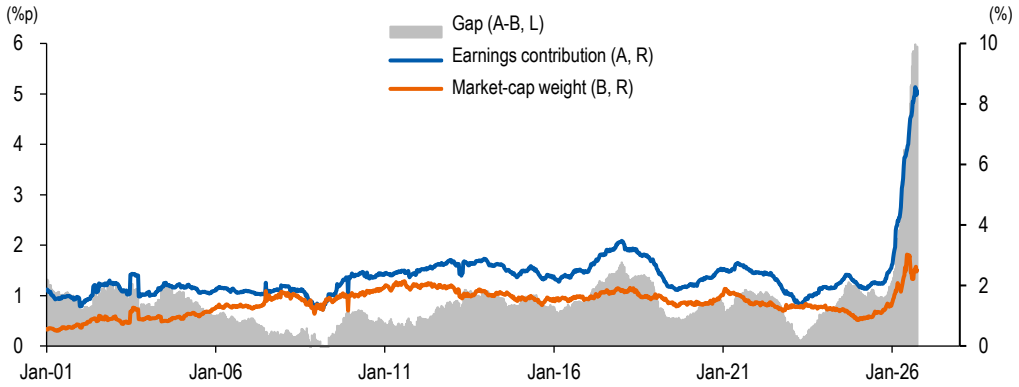
Source: FnGuide DataGuide, Yuanta Securities

MSCI countries' 12-month-forward PEG ratios (P/E ÷ EPS growth)



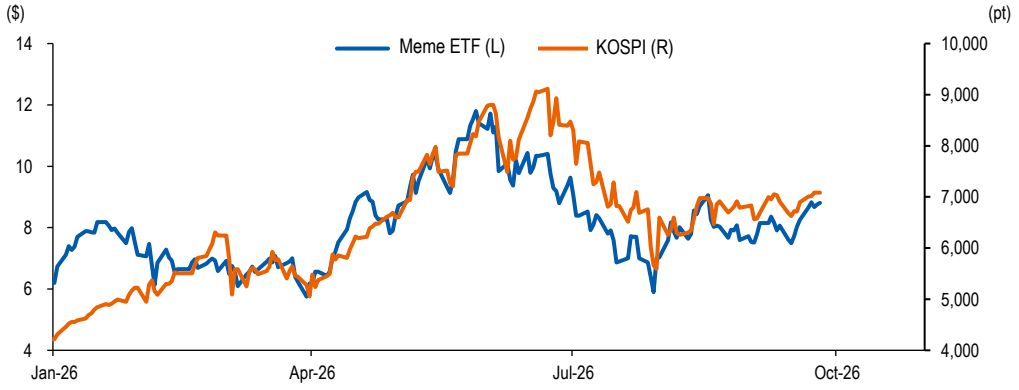
Source: LSEG Workspace, Yuanta Securities

MSCI Korea's earnings contribution and market-cap weight in the MSCI AC World Index



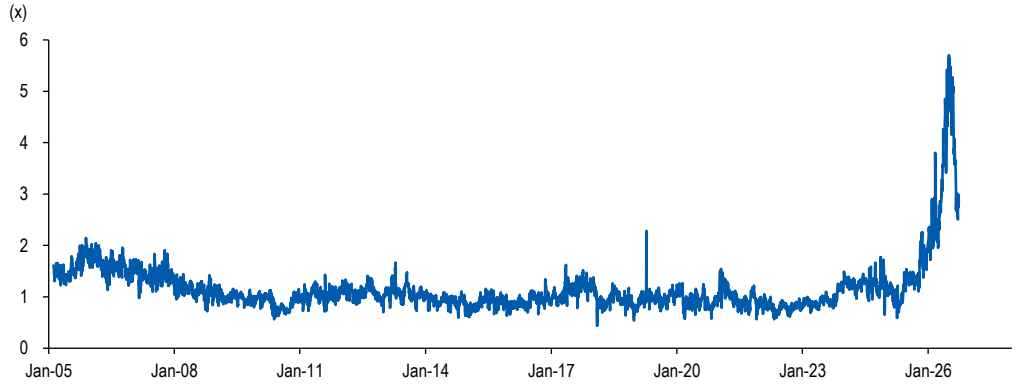
Source: LSEG Workspace, Yuanta Securities

US meme-stock ETF (Roundhill Meme Stock ETF) and the KOSPI



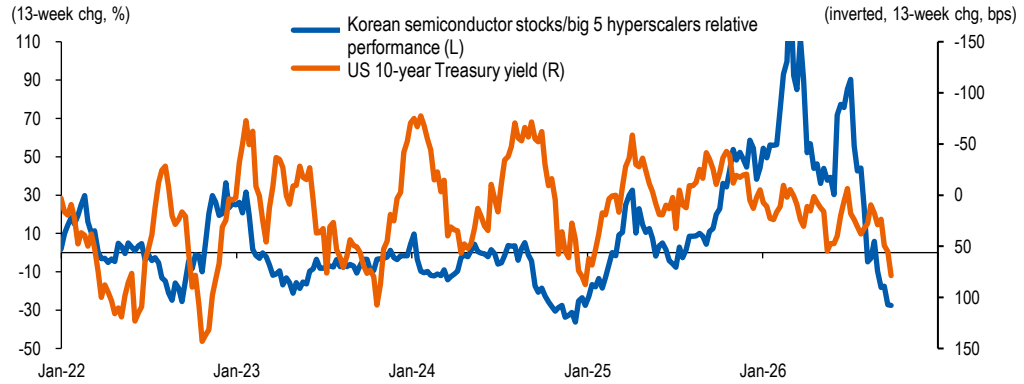
Source: LSEG Workspace, Yuanta Securities

VKOSPI/VIX ratio



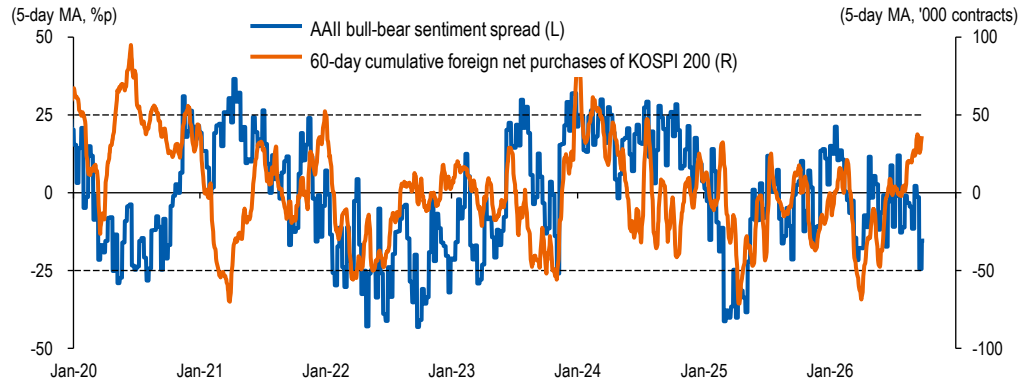
Source: LSEG Workspace, Yuanta Securities

Relative performance of Korean semiconductor stocks versus the US big 5 hyperscalers and the US 10-year Treasury yield



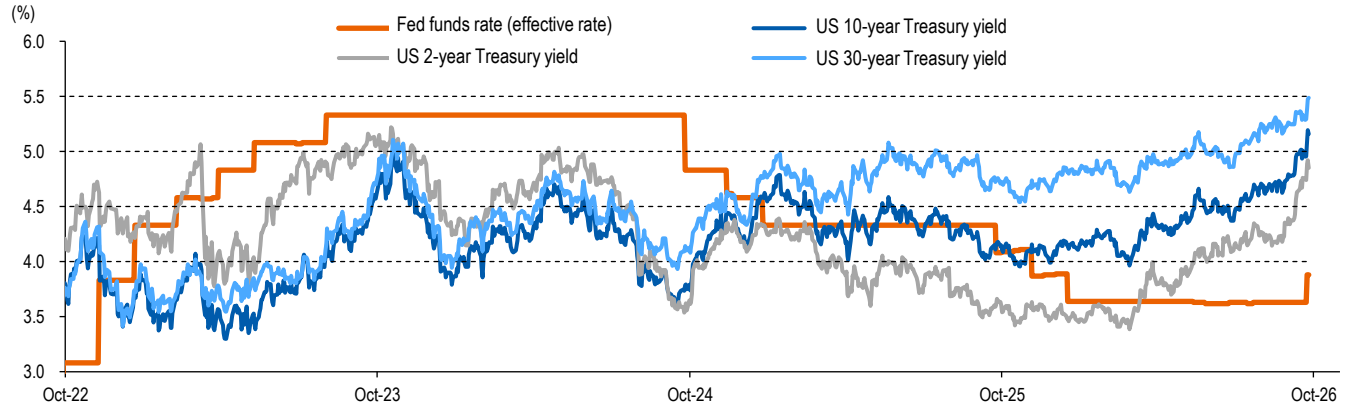
Source: LSEG Workspace, Yuanta Securities

AAII bull–bear sentiment spread and 60-day cumulative foreign net purchases of KOSPI 200 index



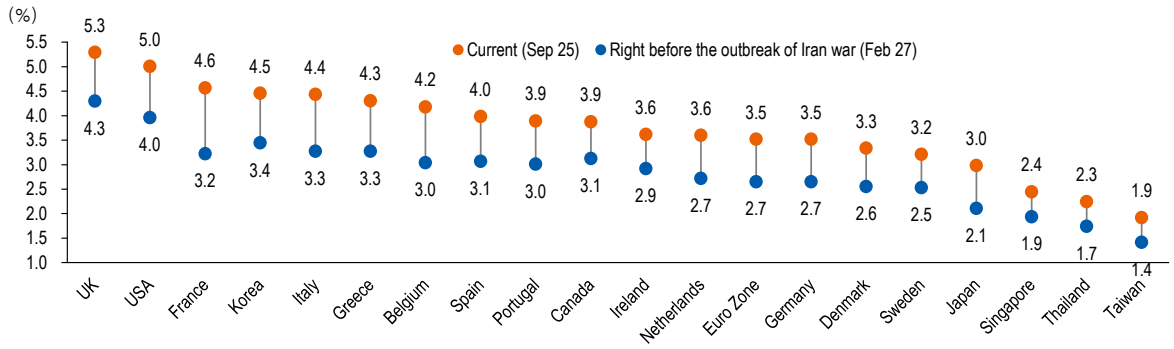
Source: LSEG Workspace, KRX, Yuanta Securities

Fed funds rate and US 2-year (4.85% as of Sep 25 close), 10-year (5.16%), and 30-year (5.49%) Treasury yield



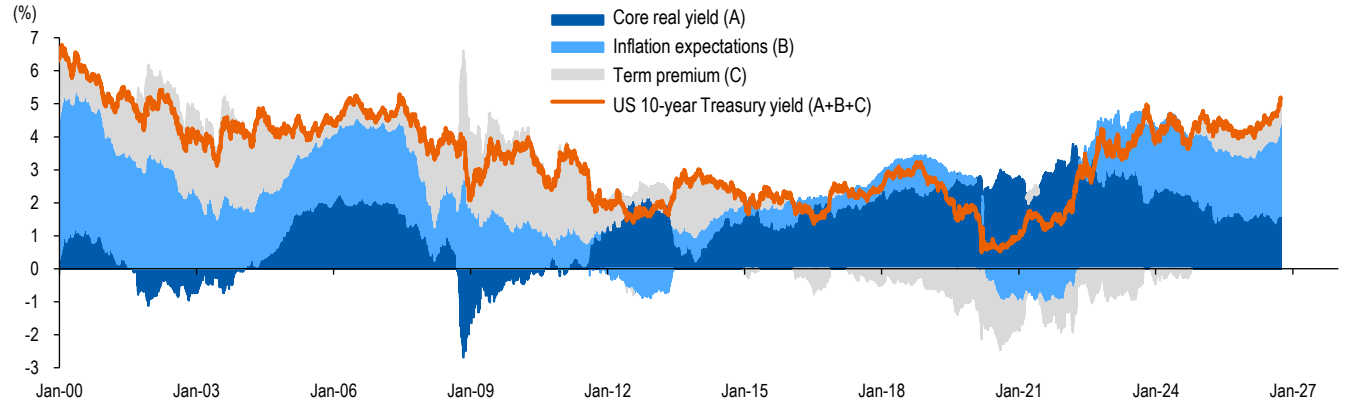
Source: LSEG Workspace, Yuanta Securities

Changes in major countries' 10-year government bond yields since the outbreak of the Iran war: surge in market yields is a global phenomenon, not one confined to the US



Source: LSEG Workspace, Yuanta Securities

Decomposition of the US 10-year Treasury yield: As of Sep 25, the 5.16% nominal yield comprised 1.60% core real yield, 2.83% inflation expectations and 0.73% term premium



Source: LSEG Workspace, Yuanta Securities

Core real yield embedded in the US 10-year Treasury yield (nominal yield − breakeven inflation − term premium)



Source: LSEG Workspace, Yuanta Securities

Breakeven inflation embedded in the US 10-year Treasury yield



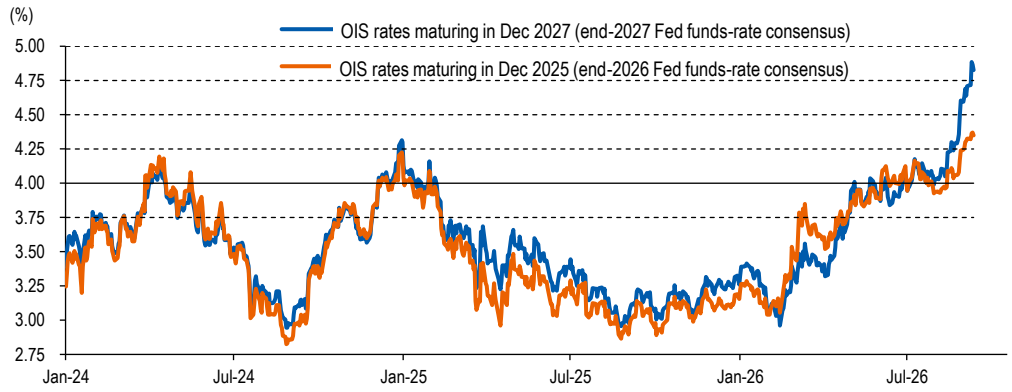
Source: LSEG Workspace, Yuanta Securities

NY Fed estimate of the term premium embedded in the US 10-year Treasury yield



Source: LSEG Workspace, Yuanta Securities

OIS rates maturing in Dec 2026 and Dec 2027 (reflecting year-end Fed funds-rate consensus)



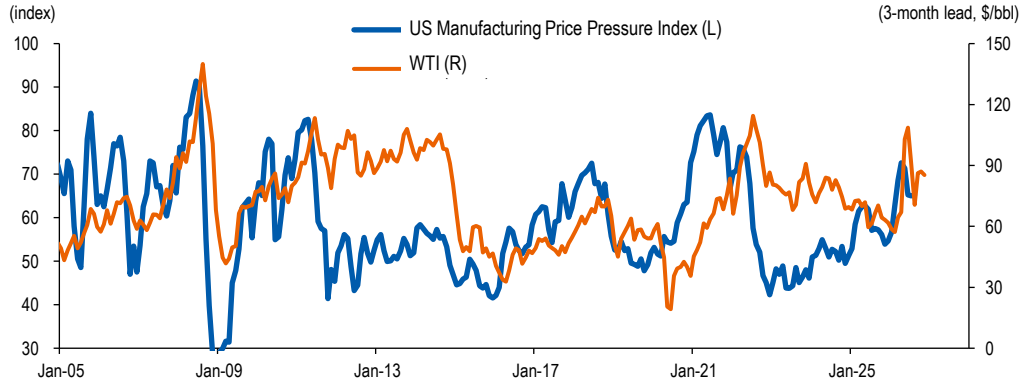
Source: LSEG Workspace, Yuanta Securities

CME FedWatch consensus on Fed hikes by FOMC meeting (as of Sep 25)

	CME FEDWATCH TOOL - AGGREGATED MEETING PROBABILITIES				
MEETING DATE	375-400	400-425	425-450	450-475	475-500
2026-10-28	35.79%	64.21%	0.00%	0.00%	0.00%
2026-12-09	0.00%	56.30%	43.70%	0.00%	0.00%
2027-01-27	0.00%	5.79%	94.21%	0.00%	0.00%
2027-03-17	0.00%	0.00%	38.21%	61.79%	0.00%
2027-04-28	0.00%	0.00%	1.79%	98.21%	0.00%
2027-06-09	0.00%	0.00%	0.00%	62.86%	37.14%
2027-07-28	0.00%	0.00%	0.00%	51.79%	48.21%
2027-09-15	0.00%	0.00%	0.00%	39.79%	60.21%
2027-10-27	0.00%	0.00%	0.00%	39.79%	60.21%
2027-12-08	0.00%	0.00%	0.00%	47.87%	52.13%

Source: CME FedWatch

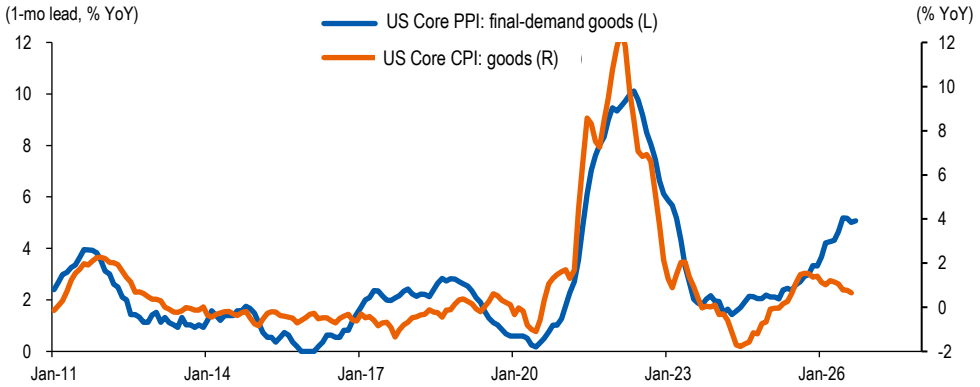
US Manufacturing Price Pressure Index and WTI crude oil



Note: The Manufacturing Price Pressure Index is calculated as the arithmetic average of the Supplier Deliveries and Prices Paid Indices in the ISM Manufacturing Index

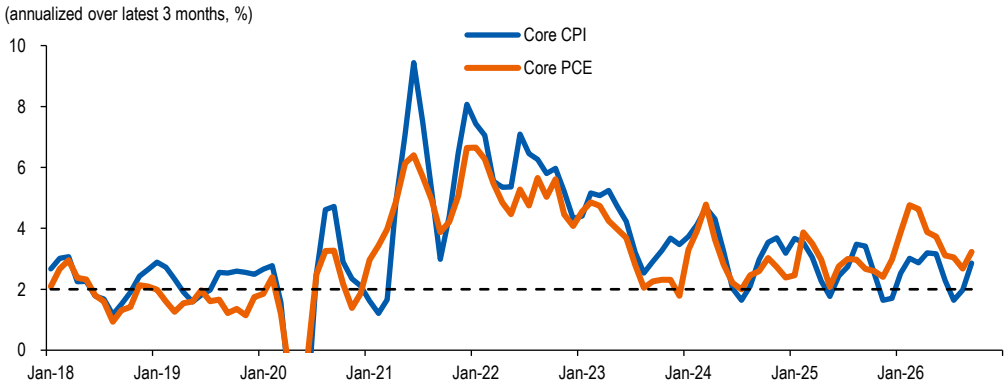
Source: LSEG Workspace, Yuanta Securities

Final-demand goods in US core PPI and goods in core CPI



Source: LSEG Workspace, Yuanta Securities

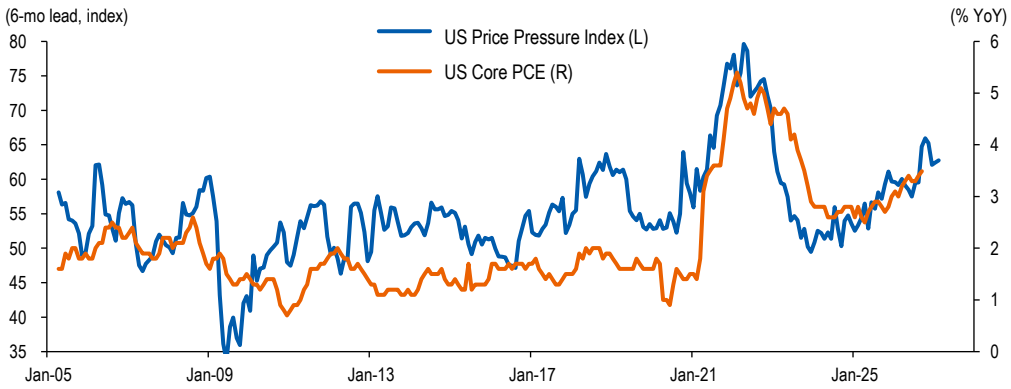
Core CPI and PCE deflators, annualized over the latest three months



Note: September core CPI growth (0.20% MoM) and August-September core PCE growth (0.27%, 0.28% MoM) are based on the Cleveland Fed's Inflation Nowcasting estimates as of September 25

Source: LSEG Workspace, Yuanta Securities

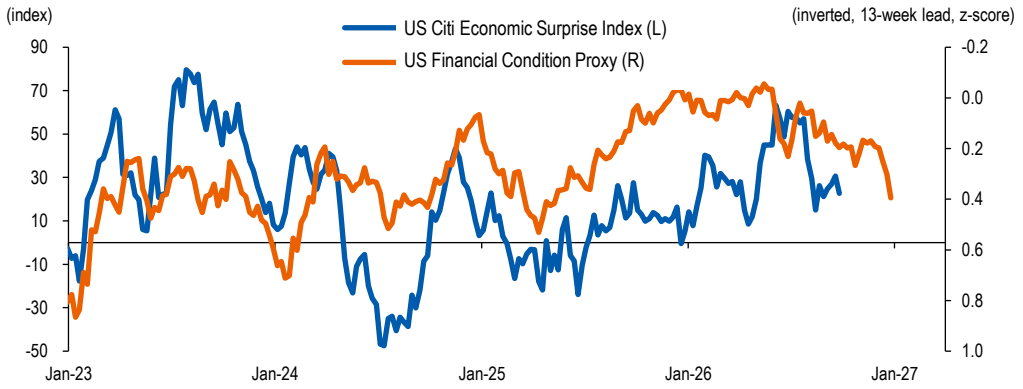
US Price Pressure Index and core PCE deflator



Note: The Price Pressure Index is a weighted average of the price-pressure measures derived from the ISM manufacturing index (25%) and the ISM non-manufacturing index (75%)

Source: LSEG Workspace, Yuanta Securities

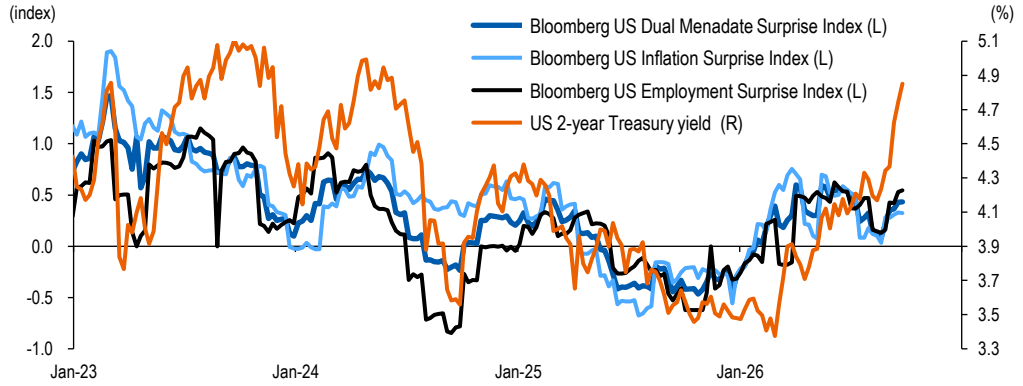
Citi US Economic Surprise Index and Financial Condition Proxy



Note: The US Financial Condition Proxy is calculated using standardized measures of the US 10-year Treasury yield, high-yield corporate bond yields and the US Dollar Index

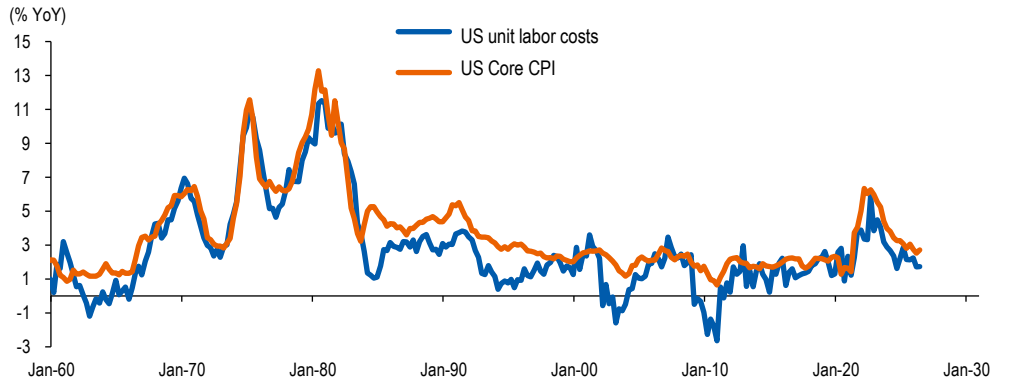
Source: Bloomberg, Yuanta Securities

Bloomberg US Inflation and Employment Surprise Indices and the two-year Treasury yield



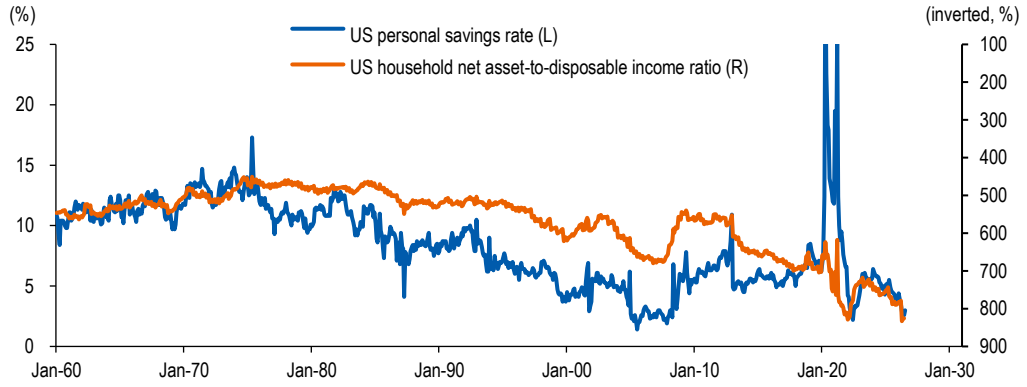
Source: Bloomberg, Yuanta Securities

US unit labor costs and core CPI



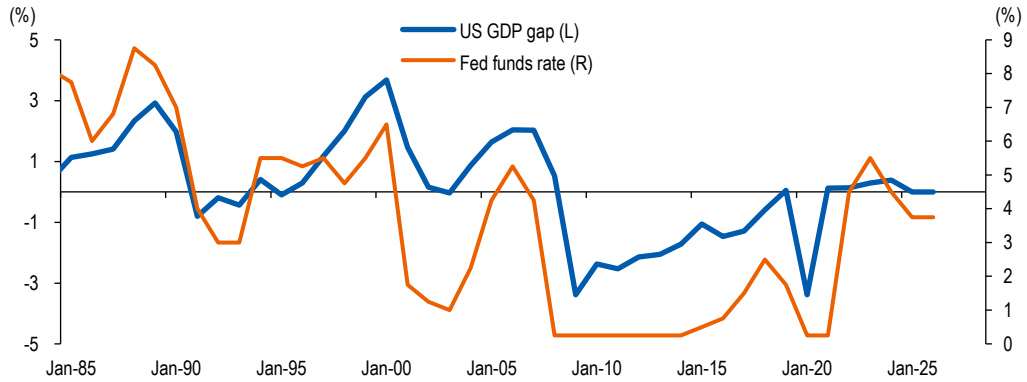
Source: LSEG Workspace, Yuanta Securities

US savings rate and household net asset-to-disposable income ratio



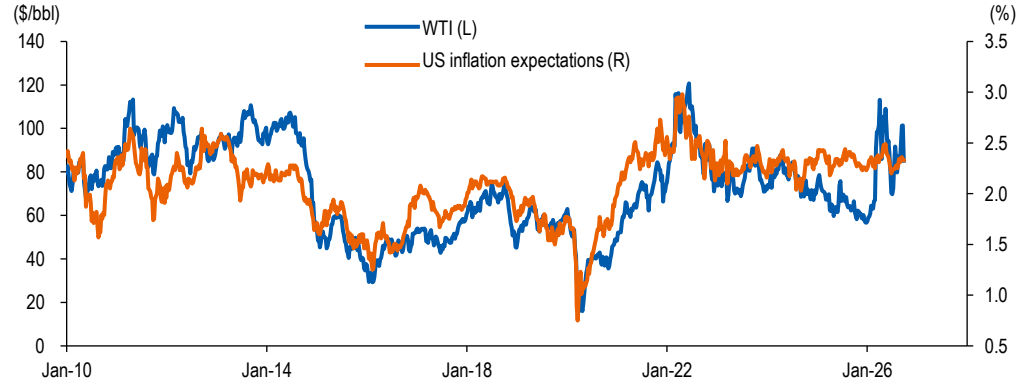
Source: LSEG Workspace, Yuanta Securities

US GDP (output) and Fed funds rate



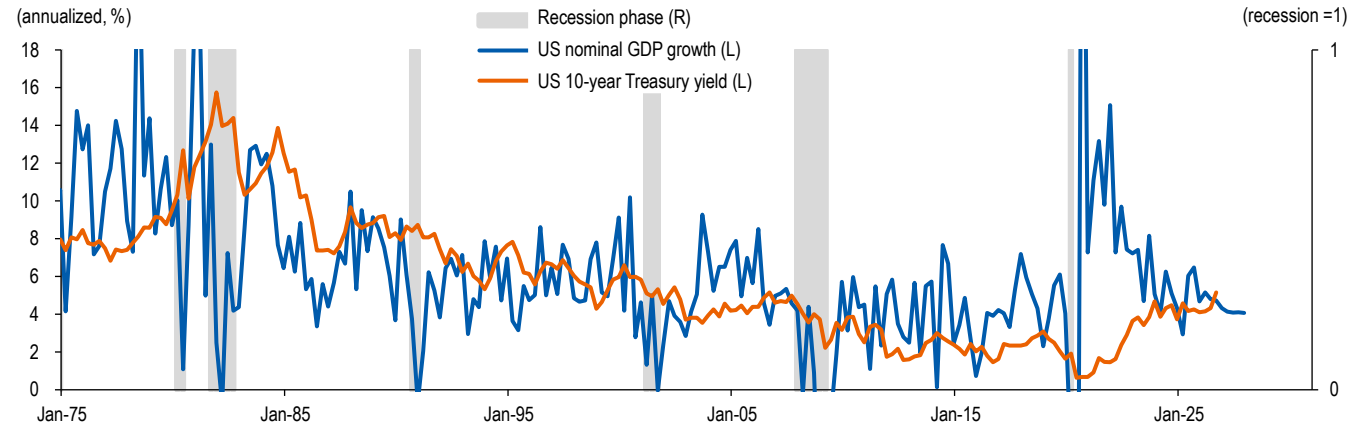
Source: LSEG Workspace, Yuanta Securities

WTI crude oil prices and US inflation expectations



Source: LSEG Workspace, Yuanta Securities

Economic recession materializes around the point when the US 10-year Treasury yield surpasses nominal GDP growth rate; this is why the US Treasury's all-out intervention for downward stabilization of long-term rate is inevitable



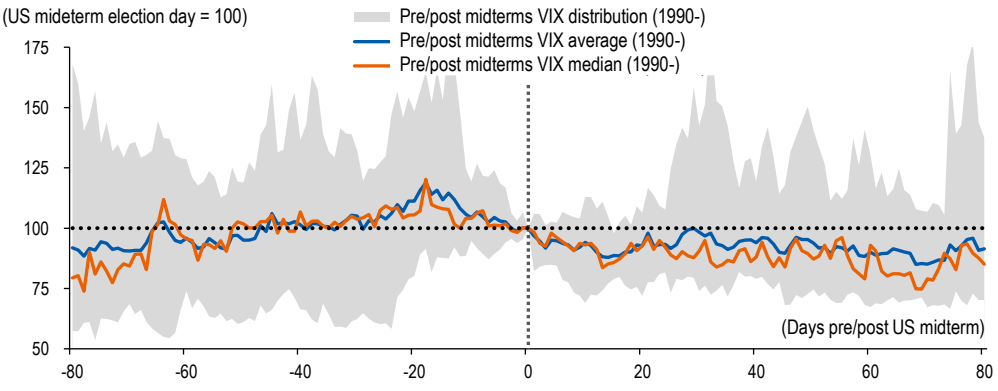
Source: LSEG Workspace, Yuanta Securities

US Treasury policy measures for downward stabilization of market rates

Channel	Instrument	Objective
Treasury supply and duration management	Treasury issuance, buyback, and TGA cash management	Adjusting the size and maturity of US Treasury supply, while Treasury provides liquidity to stressed sectors
Official liquidity backstops	FIMA Repo, SRF, Fed securities lending, an USD liquidity swap lines	Mitigate forced selling, funding stress, and market dysfunction
Regulatory and market structure policy	Capital/liquidity regulatory reforms	Enhancing the capacity and efficiency of the financial system to hold/finance/intermediate US Treasuries
	Adjusting the regulatory treatment of US Treasuries/HQLA	
	Central clearing, repo netting, margin and dealer regulations	
Policy signaling and expectation management	Signaling projected fiscal deficits, borrowing needs, and future Treasury supply changes	Indirectly impacting Treasury prices by shaping market expectations on future Treasury supply/demand/market interventions ahead of actual implementation
	Signaling adjustments to Treasury issuance/buyback, regulations, or market interventions	
	Communicating concerns over yield levels or market functions to the market	

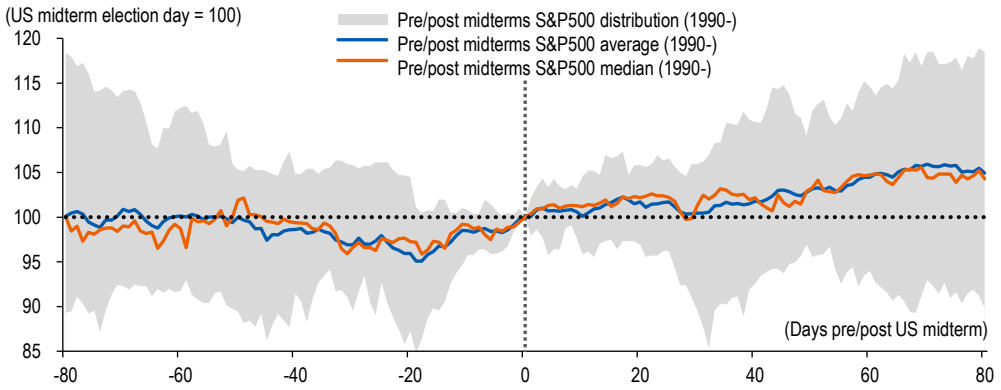
Source: BCA Research, Yuanta Securities

VIX index around US midterm election days (average since 1990)



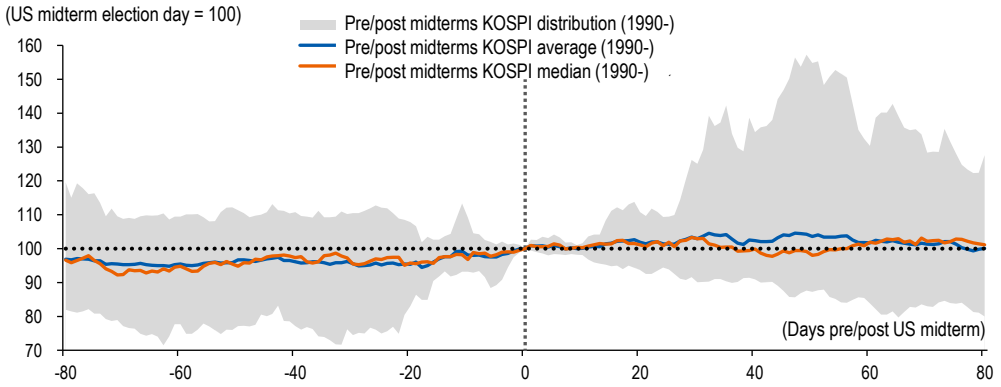
Source: LSEG Workspace, Yuanta Securities

S&P500 around US midterm election days (average since 1990)



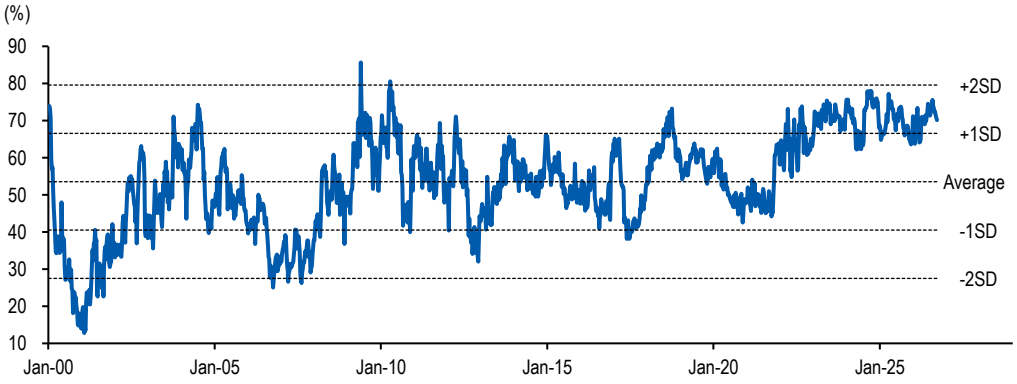
Source: LSEG Workspace, Yuanta Securities

KOSPI around US midterm election days (average since 1990)



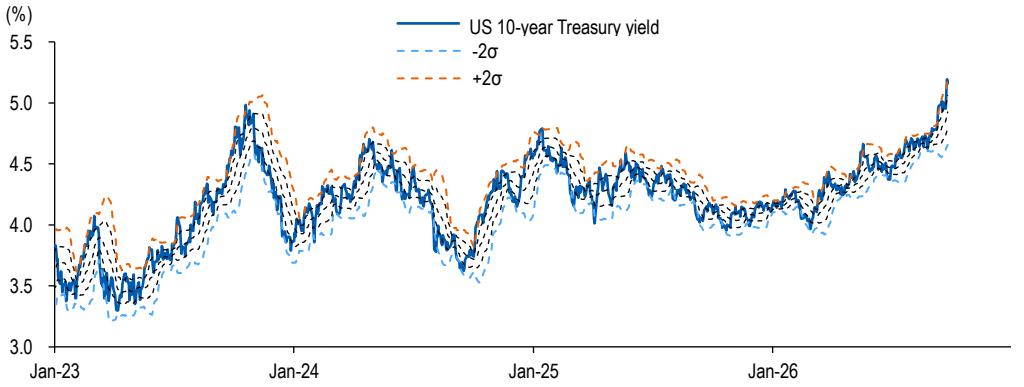
Source: LSEG Workspace, Yuanta Securities

Share of speculative short position in US 10-year US Treasury futures



Source: Bloomberg, Yuanta Securities

US 10-year Treasury yield



Source: LSEG Workspace, Yuanta Securities

Financial market performance during past Fed rate hike cycles: robust real economic conditions are a prerequisite for Fed monetary tightening; consequently, global and domestic stock markets sustain decent performance despite rate hike relays

	Policy rate hike duration (week)	Policy rate hike scale (bps)	Changes in US 1oY Treasury yield (bps)	S&P500 return (%)		KOSPI return (%)	
				Period cumulative	Weekly average	Period cumulative	Weekly average
1983-1984	71	300	203	7.9	0.11	14.1	0.19
1987-1989	96	375	93	1.1	0.01	151.3	0.96
1994-1995	51	300	189	-1.6	-0.03	-1.2	-0.02
1999-2000	46	175	50	9.2	0.19	-18.7	-0.45
2004-2006	104	425	55	11.6	0.11	65.5	0.49
2015-2018	157	225	55	20.2	0.12	5.5	0.03
2022-2023	71	525	199	6.5	0.09	-2.9	-0.04

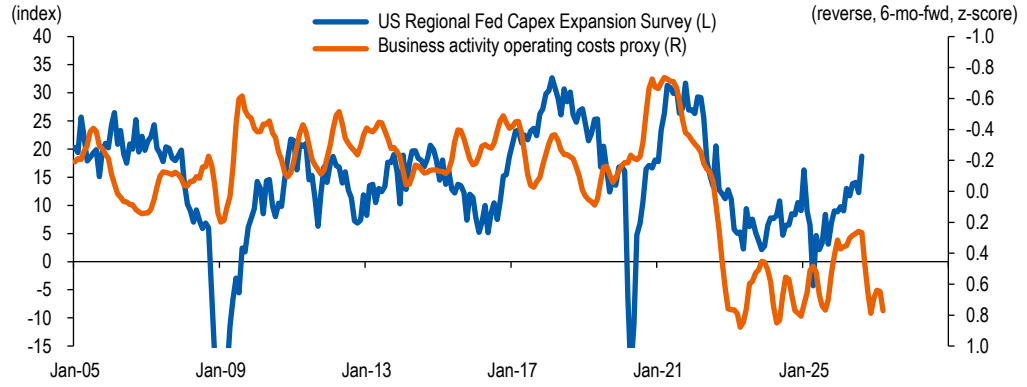
Source: LSEG Workspace, Yuanta Securities

US recessions and spread between US high-yield corporate bond yields and S&P500 EPS growth



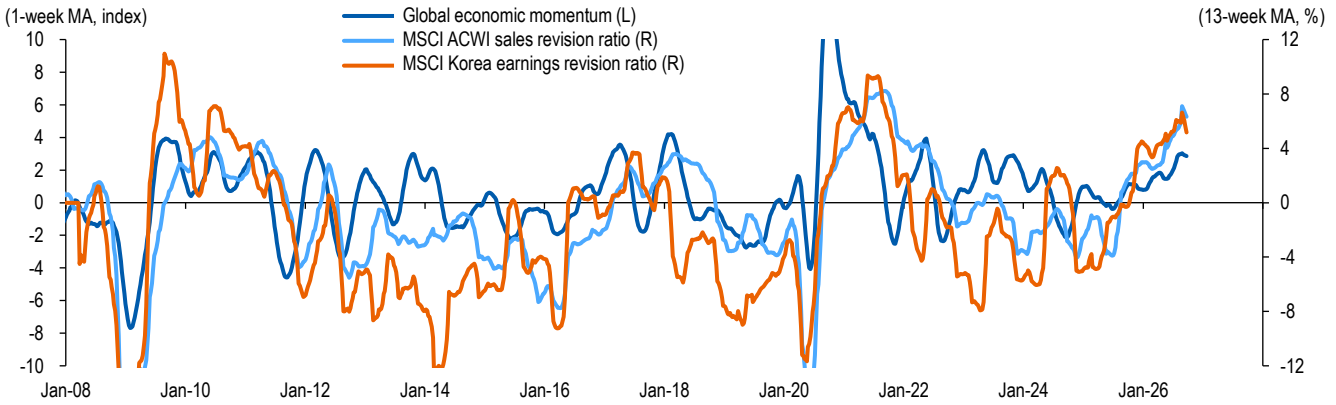
Source: LSEG Workspace, Yuanta Securities

Capex expansion intentions survey across 5 regional Feds and proxy for business activity operating costs



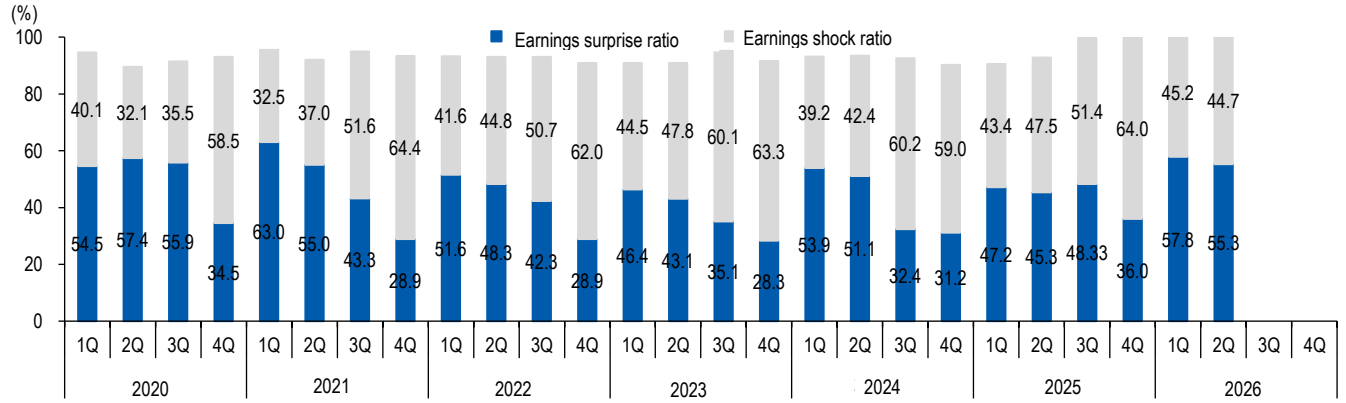
Note: Reginal Fed Capex Survey is the average of survey data from New York, Dallas, Philadelphia, Richmond, and Kansas City Feds; operating costs proxy is calculated by standardizing the US 10Y Treasury yields, high-yield corporate bond yields, global oil price, and the US Dollar Index; Source: LSEG Workspace, Yuanta Securities

Escalating risks of high inflation/tightening/high rates trigger sequential peak-out turns in global economic momentum, global sales revision ratios, and Korea's earnings revision ratio



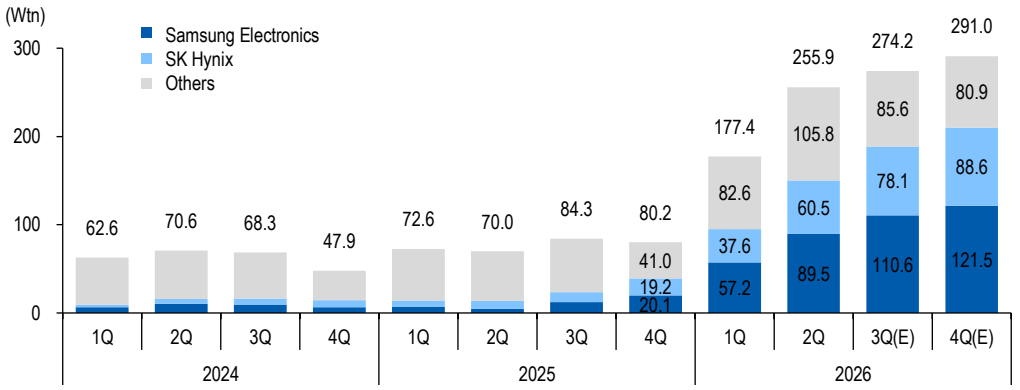
Note: Global economic momentum is calculated as a market-cap-weighted average of national/regional Citi Economic Surprise Index based on the MSCI Index
Source: LSEG Workspace, Yuanta Securities

Changes in quarterly earnings surprise vs shock ratio for Korean equities (MFK500 firms): earnings uncertainty typically deepens from 3Q26 earnings season



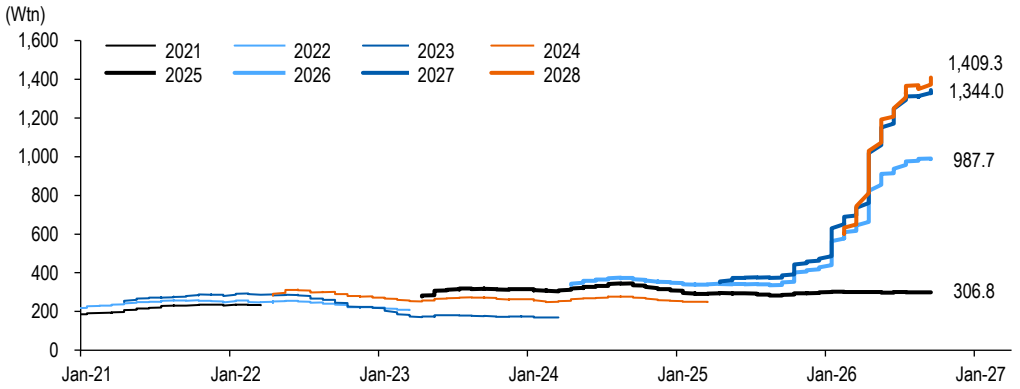
Source: FnGuide DataGuide, Yuanta Securities

Quarterly OP consensus for KOSPI, Samsung Electronics, and SK Hynix



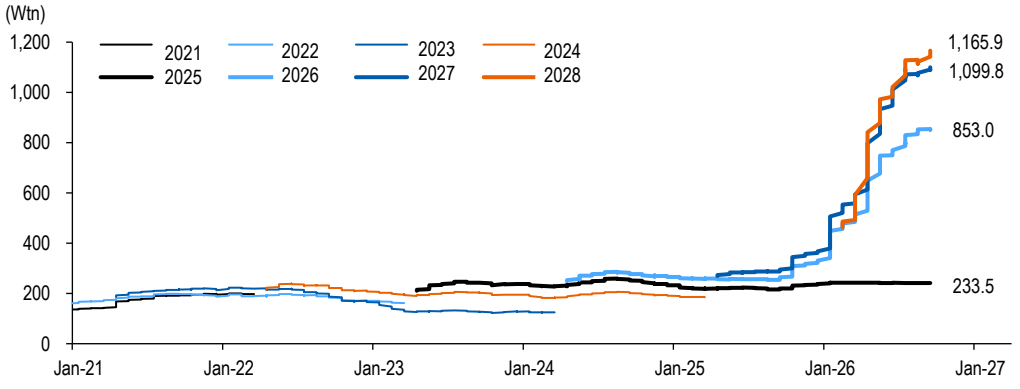
Source: FnGuide DataGuide, Yuanta Securities

Annual revision trends in KOSPI OP consensus



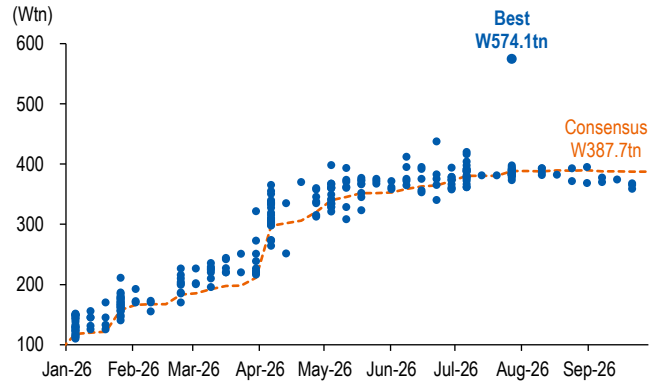
Source: FnGuide DataGuide, Yuanta Securities

Annual revision trends in KOSPI net profit consensus



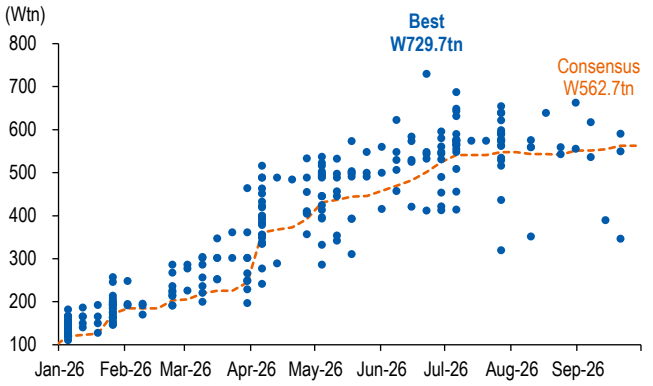
Source: FnGuide DataGuide, Yuanta Securities

Samsung Electronics 2026 annual OP consensus changes



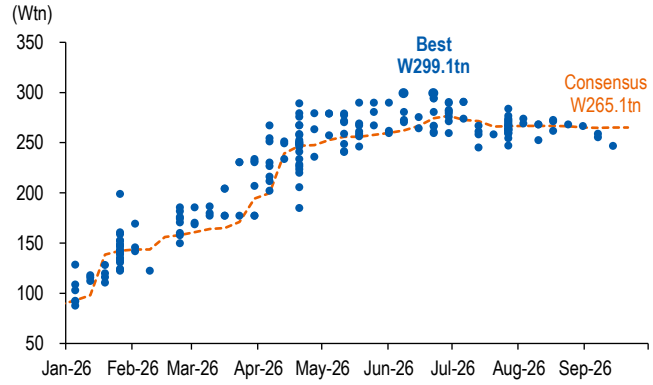
Source: FnGuide Quantiwise, Yuanta Securities

Samsung Electronics 2027 annual OP consensus changes



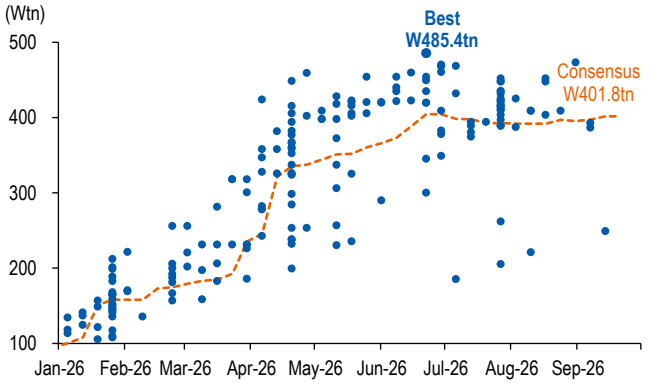
Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix 2026 annual OP consensus changes



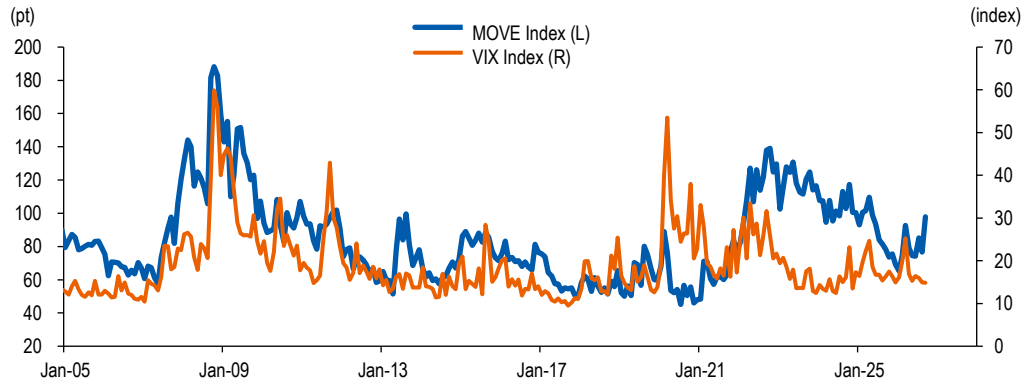
Source: FnGuide Quantiwise, Yuanta Securities

SK Hynix 2027 annual OP consensus changes



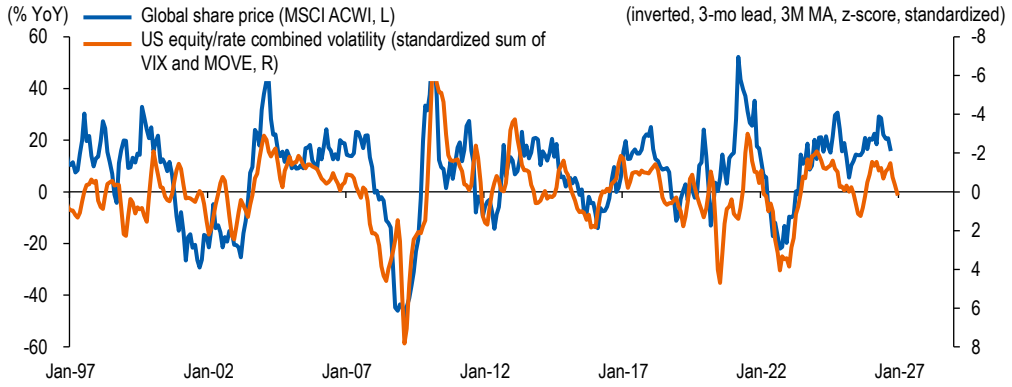
Source: FnGuide Quantiwise, Yuanta Securities

US interest rate (MOVE Index) and stock market (VIX Index) volatility



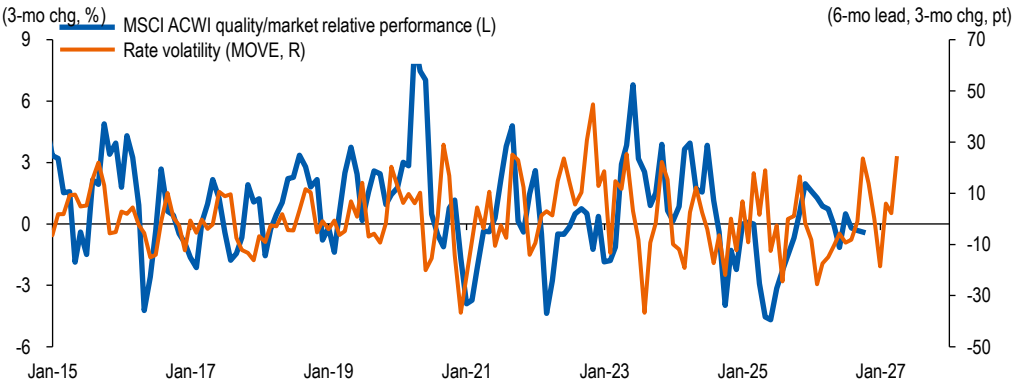
Source: LSEG Workspace, Yuanta Securities

MSCI AC World Index and combined US stock market/interest rate volatility



Source: LSEG Workspace, Yuanta Securities

Global (MSCI AC World) quality/market relative performance and US rate volatility (MOVE Index)



Source: LSEG Workspace, Yuanta Securities

Yuanta Securities modified quality F-score methodology (quarterly adaptation of Joseph Piotroski's annual quality stock methodology): scores of 6 or higher classified as high quality

	Financial indicator	Conditions
1	Net Income	1 point if preceding quarter's net income is positive
2	Operating Cash Flow	1 point if preceding quarter's OCF increased vs 2 quarters prior
3	ROA (Return on Asset)	1 point if preceding quarter's ROA improved vs 2 quarters prior
4	Quality of Earnings	1 point if preceding quarter's OCF exceeded net income
5	Long Term Debt to Asset	1 point if preceding quarter's long-term debt-to-assets decreased vs 2 quarters prior
6	Current Ratio	1 point if preceding quarter's current ratio improved vs 2 quarters prior
7	Shares of Outstanding	1 point if shares outstanding increased YoY (dilution factor)
8	Gross Margin	1 point if preceding quarter's gross profit improved vs 2 quarters prior
9	Asset Turnover	1 point if preceding quarter's total asset turnover improved vs 2 quarters prior

Source: 'Value Investing: The Use of Historical Financial Statement Information to Separate Winners from Losers'(2000, Piotroski), Yuanta Securities

High-quality sector alternatives with 3Q2-4Q26 and full-year earnings momentum (F-Score of 6 or higher)

Sector	F-Score (pts)	3Q26 OP (%)		4Q26 OP (%)		2026 full-year OP (%)		12-month-forward valuation (x)	
		YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	P/E	P/B
Energy	8	142.7	-4.1	400.9	-5.3	575.7	2.2	6.1	1.0
Chemical	7	TTB	-4.1	TTB	-2.7	654.9	1.8	16.8	0.7
Non-ferrous, woods	7	17.4	-0.8	-0.6	-2.0	27.9	-0.6	16.1	1.5
Steel	8	22.9	-0.1	5,329.0	1.5	55.5	-0.6	10.5	0.4
Construction	7	10.3	20.7	TTB	18.7	45.1	13.7	9.3	0.9
Machinery	7	27.3	0.9	71.8	1.2	50.5	0.8	29.2	4.2
Shipbuilding	9	166.1	5.7	61.6	4.2	87.0	3.9	9.1	2.2
Trading, capital goods	6	-10.6	-2.3	11.1	-1.4	-4.7	0.7	16.7	1.3
Transportation	4	73.4	0.1	35.0	-3.7	13.9	-1.6	9.8	0.8
Auto	8	12.5	-2.6	30.1	-2.8	-2.1	-1.6	6.1	0.6
Cosmetics, apparel, toys	8	-12.5	-1.0	-5.9	-2.5	-11.9	-1.2	10.6	1.5
Hotel, leisure service	5	8.7	-5.2	39.4	-4.0	4.8	-3.8	9.6	0.8
Media, education	9	35.2	1.5	5.6	1.2	9.5	0.8	12.6	1.0
Retail	7	31.6	-0.8	46.3	-0.3	33.8	-0.3	8.4	0.4
Consumer staples	6	-31.8	3.1	-8.8	7.8	-13.4	7.2	9.5	1.0
Health care	8	20.2	1.7	118.7	0.8	54.8	1.2	25.0	2.8
Banking	3	12.1	0.1	6.6	-0.1	10.4	0.0	8.1	0.7
Securities	6	-16.4	-6.8	-9.5	-1.9	21.5	-0.8	5.9	0.9
Insurance	8	-16.2	-1.4	30.2	-0.1	3.0	-0.4	9.0	0.5
Software	7	2.8	-0.3	-0.3	1.2	11.4	0.5	14.3	1.2
IT hardware	7	76.5	-7.7	100.0	-4.1	117.7	-6.0	28.0	4.5
Semiconductors	7	735.9	4.3	472.1	6.6	655.4	-0.4	4.2	1.9
IT electronics	5	405.7	2.9	TTB	2.8	TTB	2.1	34.0	2.2
Display	7	-24.5	-12.3	43.7	-7.2	0.7	-10.3	9.4	0.7
Telecom services	7	84.5	-0.1	86.2	0.0	18.0	0.1	10.2	0.9
Utilities	3	-49.7	-4.8	-48.0	-1.5	-32.4	-2.2	4.2	0.4

Note: as of Sep 23 close, TTB = turn to black
Source: FnGuide Quantiwise, Yuanta Securities

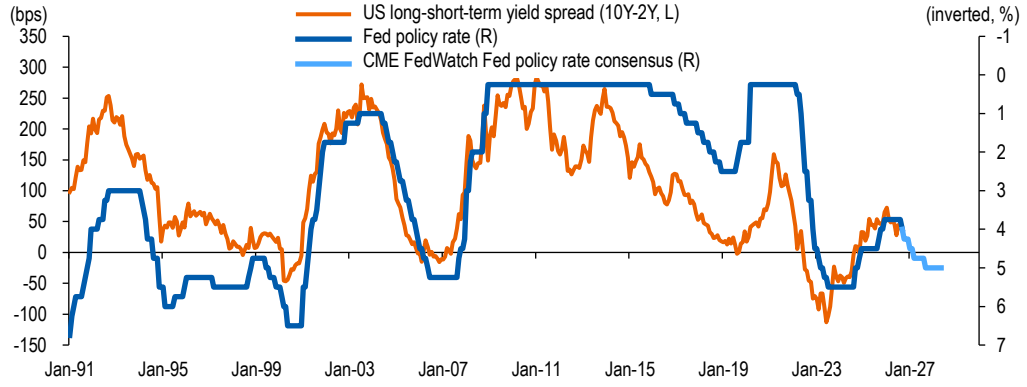
High-quality stock alternatives with 3Q2-4Q26 and full-year earnings momentum (F-Score of 6 or higher)

Company	F-Score (pts)	3Q26 OP (%)		4Q26 OP (%)		2026 full-year OP (%)		12-month-forward valuation (x)	
		YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	P/E	P/B
Hyosung TNC	9	150.1	23.2	171.8	21.9	86.9	18.6	7.9	1.0
Samsung Electronics	8	711.3	16.5	424.5	22.5	692.3	14.5	5.8	2.2
SEMCO	8	76.6	10.3	88.3	13.9	72.0	10.3	51.7	6.7
HD Hyundai Heavy	8	74.7	13.4	79.8	14.3	89.5	12.8	21.1	5.1
SK Hynix	7	548.3	31.4	316.8	33.3	435.3	26.6	5.6	3.0
Daeduck Electronics	7	158.8	23.6	115.6	25.1	375.8	22.5	31.7	6.0
Simmtech	7	314.9	19.4	453.2	20.5	1,237.8	17.8	25.4	5.0
Doosan Tesna	7	234.2	11.3	66.3	38.2	TTB	16.6	47.5	6.5
Hotel Shilla	7	391.7	17.0	TTB	18.9	1,152.6	33.1	23.7	1.9
Tes	7	200.1	14.0	87.9	13.5	65.4	9.4	23.0	4.2
TLB	7	71.2	16.3	72.8	15.1	103.0	15.5	22.7	4.9
MK Electron	7	TTB	17.5	111.0	39.7	723.1	18.7	0.0	0.0
SK Innovation	6	TTB	32.1	125.2	13.0	TTB	103.7	13.3	0.8
Hana Micron	6	100.6	17.2	67.3	13.1	134.6	21.6	18.3	5.3
SeAH Besteel	6	36.9	15.2	251.8	15.4	49.1	12.5	24.5	1.2
HJ Shipbuilding & Construction	6	849.9	23.3	12.9	14.8	223.5	15.5	12.1	3.2
Seegene	6	46.2	30.1	200.0	24.1	114.5	41.7	15.8	1.3
Shinsegae Intl	6	114.8	66.9	TTB	88.3	TTB	54.0	9.7	0.6
Nepes Ark	6	475.5	52.5	TTB	39.5	437.8	59.0	23.9	2.8
FnGuide	6	156.5	32.7	93.7	21.3	143.0	27.0	10.6	3.0

Note: as of Sep 23 close; TTB = turn to black; stocks were selected through quantitative analysis and may differ from our official investment rating; orange highlights represent overlapping stocks identified through additional stock alternative screening

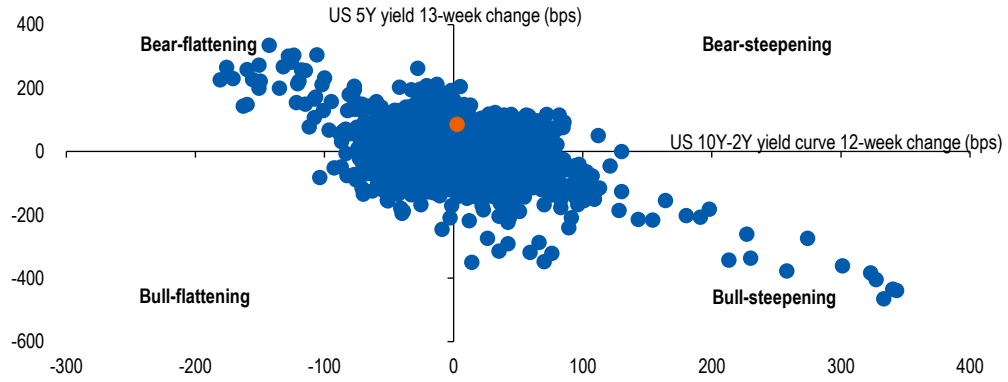
Source: FnGuide Quantiwise, Yuanta Securities

Fiscal deficit expansion, eroding Treasury credibility, and heightened Fed policy uncertainty reflected in rising term premium



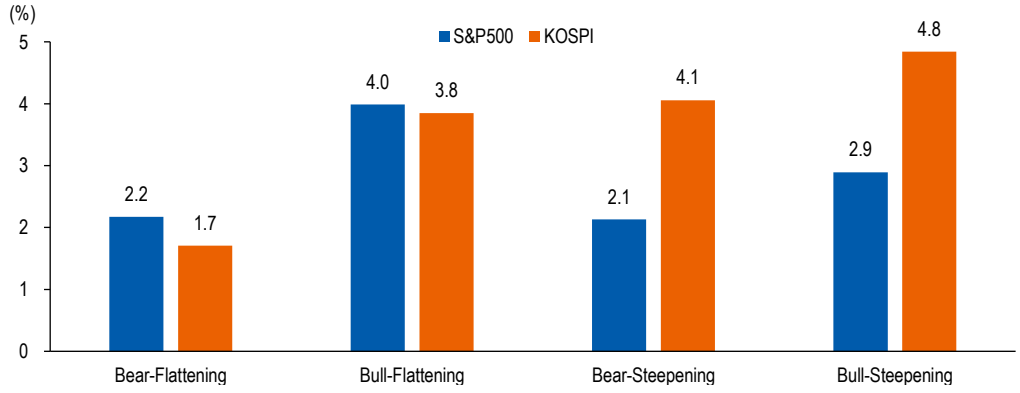
Source: LSEG Workspace, Yuanta Securities

Market rate (yield curve) environment quadrants: bear-flattening conditions persist since 2H26



Note: orange dot marks current market positioning based on Sep 2 close
Source: LSEG Workspace, Yuanta Securities

S&P500 and KOSPI 3-month average returns across US yield curve regimes since 1980



Note: excludes NBER-designated US recession periods
Source: LSEG Workspace, Yuanta Securities

Sector alternatives during US market rate bear-flattening phase since 2005

Sector	Bear-Flattening phase overall average (%)		3Q26 OP (%)		4Q26 OP (%)		2026 OP (%)		Pricing power (% YoY)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
Shipbuilding	0.8	53.3	166.1	5.7	61.6	4.2	87.0	3.9	22.2	109.0	36.6
IT hardware	0.7	44.0	76.5	-7.7	100.0	-4.1	117.7	-6.0	97.5	1,403.5	406.6
Steel	0.6	52.0	22.9	-0.1	5,329.0	1.5	55.5	-0.6	30.4	270.1	72.3
Cosmetics/apparel/toys	0.6	57.3	-12.5	-1.0	-5.9	-2.5	-11.9	-1.2	200.3	544.7	438.7
Semiconductors	0.5	48.0	735.9	4.3	472.1	6.6	655.4	-0.4	174.4	705.4	478.2
Insurance	0.4	49.3	-16.2	-1.4	30.2	-0.1	3.0	-0.4	-	58.7	-
Chemicals	0.3	50.7	TTB	-4.1	TTB	-2.7	654.9	1.8	39.4	TTB	46.1
IT appliances	0.2	53.3	405.7	2.9	TTB	2.8	TTB	2.1	42.7	TTB	83.1
Energy	0.2	54.7	142.7	-4.1	400.9	-5.3	575.7	2.2	30.5	TTB	317.6
Consumer staples	0.1	52.0	-31.8	3.1	-8.8	7.8	-13.4	7.2	56.0	293.8	117.2
Nonferrous metals/woods	0.1	56.0	17.4	-0.8	-0.6	-2.0	27.9	-0.6	225.6	748.5	2,700.8
Banks	0.0	52.0	12.1	0.1	6.6	-0.1	10.4	0.0	-61.7	6.6	-99.3
Machinery	0.0	49.3	27.3	0.9	71.8	1.2	50.5	0.8	30.3	135.8	98.2
Construction/bldg mtr	-0.2	53.3	10.3	20.7	TTB	18.7	45.1	13.7	-3.5	169.4	112.5
Retail	-0.2	52.0	31.6	-0.8	46.3	-0.3	33.8	-0.3	55.5	346.8	52.7
Healthcare	-0.4	48.0	20.2	1.7	118.7	0.8	54.8	1.2	119.0	1,020.0	464.8
Automobiles	-0.5	50.7	12.5	-2.6	30.1	-2.8	-2.1	-1.6	16.6	43.0	206.1
Securities	-0.6	37.3	-16.4	-6.8	-9.5	-1.9	21.5	-0.8	110.0	146.3	-100.0
Transportation	-0.7	44.0	73.4	0.1	35.0	-3.7	13.9	-1.6	18.5	-6.8	26.7
Trading firms/Capital goods	-0.7	45.3	-10.6	-2.3	11.1	-1.4	-4.7	0.7	31.4	-5.8	44.6
Hotel/Leisure services	-0.8	49.3	8.7	-5.2	39.4	-4.0	4.8	-3.8	60.6	117.6	111.4
Software	-0.9	48.0	2.8	-0.3	-0.3	1.2	11.4	0.5	214.2	325.0	241.4
Telecom services	-0.9	41.3	84.5	-0.1	86.2	0.0	18.0	0.1	4.8	42.2	22.5
Utilities	-1.2	52.0	-49.7	-4.8	-48.0	-1.5	-32.4	-2.2	7.8	-30.0	-13.9
Media/Education	-1.7	42.7	35.2	1.5	5.6	1.2	9.5	0.8	125.2	333.2	158.0
Displays	-1.7	36.0	-24.5	-12.3	43.7	-7.2	0.7	-10.3	-4.3	-60.1	66.6

Note: as of Sep 23 closing price, TTB = turn to black
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

Stock alternatives during US market rate bear-flattening phase since 2005

Company	Bear-Flattening phase overall average (%)		3Q26 OP (%)		4Q26 OP (%)		2026 OP (%)		Pricing power (% YoY)		
	Relative return	Hit ratio	YoY	1-mo chg	YoY	1-mo chg	YoY	1-mo chg	SPS	EPS	CPS
ISU Petasys	5.5	53.5	60.4	4.4	81.6	7.9	66.9	4.4	42.3	63.6	51.3
Samyang Foods	5.1	52.1	43.4	-0.3	38.4	0.8	40.0	0.0	33.5	45.5	38.6
Celltrion	4.9	54.9	68.8	6.8	23.5	2.6	58.8	3.7	37.3	59.4	64.7
SEMCO	3.7	53.5	127.2	19.3	160.1	28.4	111.4	15.8	26.6	118.8	65.1
LG Innotek	3.0	52.1	52.2	5.4	33.3	4.2	91.5	7.3	16.4	173.6	23.4
LS Electric	2.8	53.5	83.8	-0.1	72.1	-1.2	67.4	-0.4	31.2	87.8	76.3
Daeduck Electronics	2.6	50.7	214.8	9.8	174.1	13.9	464.6	8.6	50.6	385.2	122.9
SK hynix	2.6	53.5	592.3	-2.4	364.5	0.3	464.9	-1.7	258.6	494.0	399.3
Kolmar Korea	2.4	52.1	57.7	12.4	37.0	9.8	44.1	9.5	17.2	49.0	45.1
Hanmi Semiconductor	1.7	54.9	90.4	0.0	347.3	0.0	52.0	0.0	42.9	62.4	21.9
ISC	1.5	52.1	56.0	-1.8	36.4	2.5	69.9	-1.6	41.9	58.2	58.9
Cosmax	1.4	50.7	58.2	24.3	52.2	11.3	31.1	10.1	23.8	34.9	78.5
Amorepacific	1.2	50.7	27.6	2.6	138.3	-1.1	43.7	3.8	10.8	57.5	17.6
POSCO Holdings	1.2	59.2	28.7	-2.0	6,013.6	-4.7	69.5	0.3	8.7	322.8	30.1
Leeno Industrial	1.2	56.3	15.6	-3.1	19.3	1.6	25.8	2.0	22.6	25.6	30.9
Koh Young	1.2	53.5	215.5	28.6	141.3	14.5	227.7	22.8	46.8	304.2	178.0
GS	1.1	52.1	39.8	31.2	25.8	18.7	76.1	25.2	13.8	187.8	210.1
Alteogen	1.1	52.1	147.1	-4.9	493.0	-18.1	147.1	-5.7	101.3	88.9	386.1
LS	1.0	53.5	96.1	20.1	89.7	23.0	86.9	16.8	31.9	119.1	59.3
Korea Zinc	1.0	54.9	69.3	-16.2	8.4	-6.8	83.5	-5.5	39.1	59.5	46.1
HD Hyundai Electric	0.8	50.7	27.9	-1.6	15.3	-0.5	23.8	-0.6	15.0	30.1	32.6
Hanwha Aerospace	0.8	57.7	38.8	5.9	78.3	0.3	49.7	7.9	15.3	55.1	53.0
S-Oil	0.8	54.9	340.4	59.5	185.8	37.8	1,710.5	18.8	23.1	1,544.5	268.6
Hyundai Dept Store	0.8	53.5	32.4	-5.2	34.7	-5.6	10.5	-4.7	4.9	97.6	-0.3
HD Construction Equipment	0.8	50.7	234.0	-1.9	355.4	-5.4	344.9	5.0	-7.8	150.0	-
Pan Ocean	0.7	53.5	41.2	15.7	26.4	13.6	37.5	13.7	27.3	56.0	33.0
Samsung Heavy	0.6	53.5	48.4	-0.9	39.7	-1.6	60.2	-1.0	20.3	72.9	32.0
Tes	0.6	53.5	234.6	7.5	119.2	3.7	80.2	2.5	37.7	89.7	86.1
LG Corp	0.5	53.5	23.7	-10.2	TTB	-23.3	77.4	-0.8	17.1	48.8	11.9
Hyundai Mobis	0.2	52.1	23.4	0.1	14.0	-0.1	12.9	0.3	8.4	15.3	7.3

Note: as of Sep 23 close; stocks were selected through quantitative analysis and may differ from our official investment rating;
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

Company alternatives with 3Q26E and 2026E earnings surprise

Company	Coefficient of variation of 3Q26 EPS			Coefficient of variation of 2026 EPS			3Q26 OP (%)		2026 OP (%)	
	1-mo ago	Recent	Change	1-mo ago	Recent	Change	YoY	1-mo chg	YoY	1-mo chg
Samsung Electronics	0.61	0.58	-0.02	0.63	0.61	-0.02	808.9	-2.2	789.2	-0.3
SK Hynix	0.53	0.50	-0.02	0.55	0.53	-0.02	585.9	-0.9	461.6	-0.6
Hanwha Aerospace	0.05	0.05	-0.00	0.14	0.13	-0.00	39.1	0.2	50.4	0.4
Doosan Enerbility	0.14	0.14	-0.01	0.23	0.23	0.00	81.1	0.0	48.3	-0.1
Samsung SDI	0.90	0.85	-0.05	0.54	0.52	-0.02	TTB	32.5	TTB	14.9
HD Hyundai Electric	0.04	0.04	-0.00	0.05	0.05	-0.00	27.9	0.0	23.9	0.0
Korea Zinc	0.26	0.25	-0.01	0.15	0.14	-0.00	69.3	0.0	83.5	0.0
Hyundai Autoever	0.02	0.02	-0.00	0.03	0.03	-0.00	9.5	-0.2	10.9	0.2
KakaoBank	0.04	0.04	-0.00	0.09	0.09	0.00	28.9	0.0	13.8	0.0
Amorepacific	0.03	0.03	-0.00	0.08	0.08	0.00	28.8	1.0	45.0	1.0
Hanwha Solutions	0.64	0.62	-0.03	0.22	0.21	-0.01	TTB	8.9	TTB	10.2
LG Uplus	0.05	0.04	-0.00	0.09	0.10	0.00	85.6	0.0	28.9	0.0
JB Financial Group	0.03	0.03	-0.00	0.09	0.09	-0.00	8.3	0.0	7.8	0.4
ISC	0.06	0.05	-0.00	0.06	0.06	-0.00	58.1	1.3	72.1	1.3
PharmaResearch	0.09	0.09	-0.00	0.10	0.10	-0.00	18.9	0.6	27.2	0.5
Hanon Systems	0.34	0.33	-0.01	0.25	0.24	-0.01	14.3	-0.1	57.9	-0.0
Youngone	0.05	0.05	-0.00	0.21	0.20	-0.01	16.8	0.7	24.9	0.3
Hanwha Vision	0.09	0.08	-0.01	0.07	0.07	-0.00	140.7	0.0	25.3	0.0
d'Alba Global	0.15	0.15	-0.00	0.01	0.01	0.00	95.6	0.1	62.2	0.2
HL Mando	0.10	0.10	-0.00	0.17	0.18	0.00	8.6	0.1	15.3	0.0
ST Pharm	0.09	0.09	-0.00	0.27	0.28	0.01	22.6	0.0	37.1	0.0
Daehan Shipbuilding	0.09	0.09	-0.00	0.04	0.04	-0.00	34.0	0.0	24.0	0.0
KCTech	0.20	0.17	-0.03	0.12	0.10	-0.01	132.0	0.0	143.8	0.0
VM	0.27	0.26	-0.01	0.15	0.15	-0.00	150.0	5.1	285.7	3.2
LX International	0.19	0.19	-0.00	0.11	0.11	-0.00	88.1	0.0	59.4	-0.1
Daejoo Electronic Materials	0.37	0.36	-0.01	0.18	0.18	-0.01	78.6	5.9	91.9	0.3
L&C Bio	0.26	0.25	-0.01	0.06	0.06	-0.00	272.4	4.5	743.4	0.6
DL	0.32	0.31	-0.01	0.22	0.21	-0.01	74.1	0.0	117.6	0.0
Hankuk Carbon	0.10	0.10	-0.00	0.09	0.08	-0.00	47.2	0.6	39.9	1.1
Dongkook Pharmaceutical	0.04	0.04	-0.00	0.03	0.04	0.00	10.1	0.0	13.2	0.0

Note: as of Sep 23 close; stocks were selected through quantitative analysis and may differ from our official investment rating;
Source: FnGuide Quantiwise, Yuanta Securities

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
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  - Neutral: Investment weighting is equal to the market capitalization weighting
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